

Portfolio Management Project

Stock Valuation and Market Trends

eXtra
Consumer Electronics
Leader

Maaden
Mining Pioneer

Almarai
Food and Dairy Leader

Bahri
Transportation & Shipping Pioneer

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Portfolio Overview & Investment Rationale

Portfolio Summary

A diversified four-stock portfolio representing key sectors of Saudi Arabia’s economy with a total investment of SAR 99,913.72

The portfolio is designed to balance growth potential with defensive characteristics while supporting diversification across the Saudi market.

eXtra (4003)

Theme: Retail and Consumer Electronics

Rationale: One of Saudi Arabia’s leading electronics retailers with strong market presence and dividend support.

Maaden (1211)

Theme: Mining and Materials

Rationale: Major Saudi mining company with long-term growth potential and exposure to phosphate, aluminum, and gold.

Almarai (2280)

Theme: Consumer Staples and Dairy

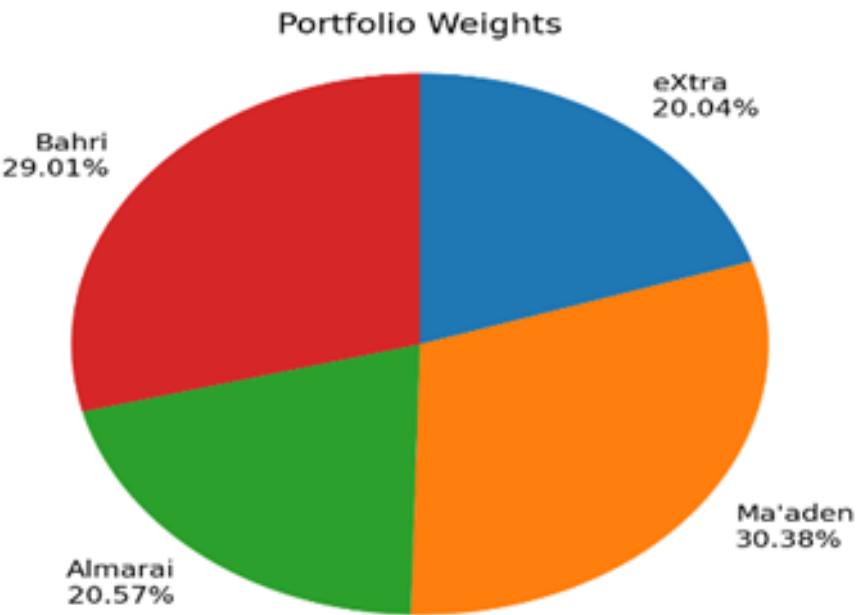
Rationale: Defensive holding with stable demand, strong brand position, and consistent financial performance.

Bahri (4030)

Theme: Transportation and Logistics

Rationale: Strong role in maritime shipping and logistics, supported by Saudi Arabia’s energy export activity.

Portfolio Allocation



Allocation Strategy

- ✓ eXtra (20.04%) – Retail and consumer finance exposure.
- ✓ Maaden (30.38%) – Mining and commodity growth exposure.
- ✓ Almarai (20.57%) – Defensive consumer goods exposure.
- ✓ Bahri (29.01%) – Transportation and logistics exposure.

Company	Shares	Price	Total Cost
eXtra	249	ﷲ 80.40	ﷲ 20,019,60
Maaden	433	ﷲ 70.11	ﷲ 30,357,63
Almarai	499	ﷲ 41.18	ﷲ 20,548.,82
Bahri	947	ﷲ 30.61	ﷲ 28,987,67

United Electronics - eXtra



Company Overview

eXtra is one of the leading consumer electronics retailers in Saudi Arabia. The company benefits from strong market presence, steady sales activity, and consumer finance support through Tasheel. It gives the portfolio exposure to retail spending and consumer finance trends

Consumer Retail Portfolio

The company gives the portfolio exposure to retail spending and consumer finance trends. It adds a more cyclical but growth-oriented consumer segment to the portfolio.

Strong Financial Performance

eXtra remained profitable and showed strong asset efficiency in the latest analysis. It also recorded solid liquidity, although leverage was higher than in the more defensive holdings.

Strategic Importance

eXtra supports the portfolio through its role in Saudi consumer spending and retail modernization. Its business model benefits from ongoing household demand and digital retail expansion

Key Financial Metrics (2025)

Profit Margin
7.7%



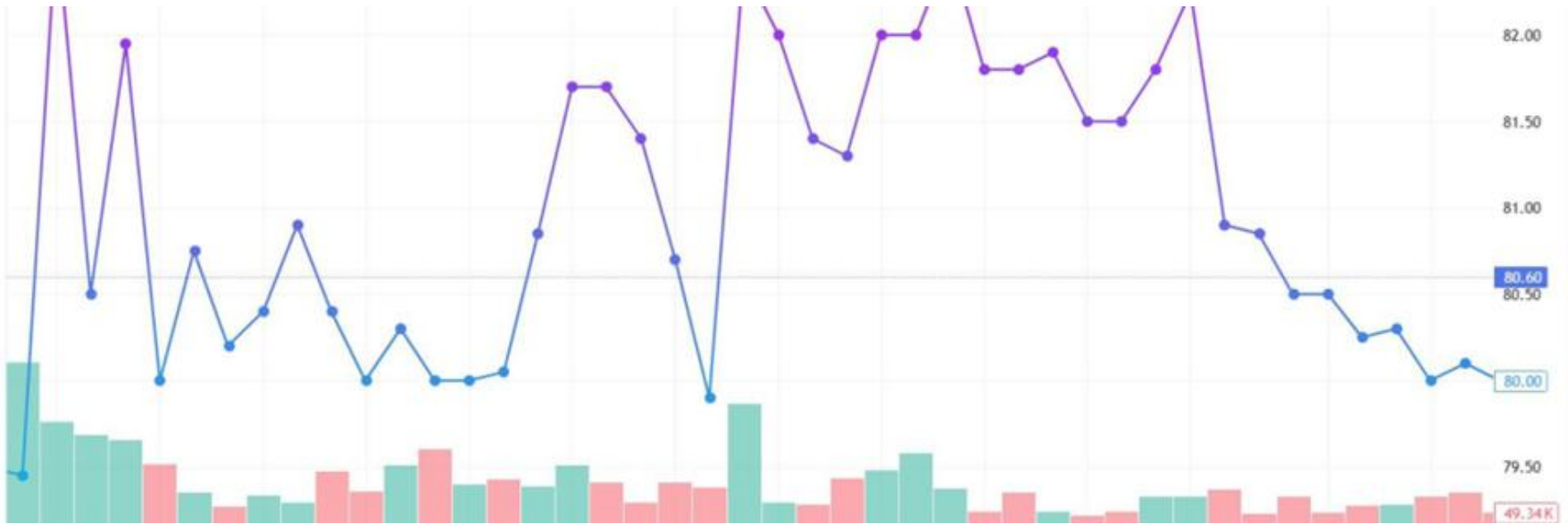
ROA
10.2%



ROE
29.7%



Debt to Equity
109.5%



eXtra stock price between March 3 and May 7, 2026

Maaden



Company Overview

Maaden is a major Saudi mining company with operations in phosphate, aluminum, and gold. It plays an important role in developing the Kingdom’s mineral resources

Mining and Materials Portfolio

Maaden adds commodity and industrial exposure to the portfolio. Its results are more cyclical, but it offers long-term growth potential tied to Saudi industrial development.

Strong Financial Performance

Maaden showed improved profitability by 2025 after a weaker period earlier in the trend. However, it remains the most cyclical and leverage-sensitive holding in the portfolio.

Strategic Importance

Maaden is strategically important because it supports Vision 2030 industrial diversification and local resource development. It remains a key company in the mining and materials sector

Key Financial Metrics (2025)

Profit Margin
%22.1



ROA
%7.3



ROE
13.0%



Debt to Equity
49.9%



Maaden stock price between March 3 and May 7, 2026

Almarai



Company Overview

.Almarai is a leading Saudi food and dairy company with a strong brand and stable demand. It operates in essential consumer staples, which makes its earnings more defensive.

Defensive Consumer Portfolio

Almarai provides stability and helps balance the portfolio against more cyclical holdings. Its revenue base is less sensitive to short-term economic changes.

Strong Financial Performance

Almarai delivered stable profitability and consistent performance across the period. Its financial profile is more conservative than Maaden and eXtra, supporting lower overall portfolio risk.

Strategic Importance

Almarai is strategically important because it serves daily consumer needs in food and dairy products. This makes it a reliable defensive anchor in the portfolio.

Key Financial Metrics (2025)

Profit Margin
11.1%



ROA
6.5%



ROE
X



Debt to Equity
63.5%



Almarai stock price between March 3 and May 7, 2026



Company Overview

Bahri is a leading transportation and shipping company in Saudi Arabia. It benefits from the Kingdom’s position as a major energy exporter and from ongoing demand for logistics and maritime services. It contributes cyclical but strategically important exposure.

Transportation and Logistics Portfolio

Bahri adds cyclical exposure linked to shipping, trade, and energy transport. It also provides a different risk driver from retail, consumer goods, and mining.

Strong Financial Performance

Bahri showed solid profitability and improved performance in 2025. It was also one of the strongest contributors to portfolio return and technical strength

Strategic Importance

Bahri is strategically important because it supports logistics and maritime transport in the Kingdom. Its performance is tied to trade flows, freight conditions, and Saudi export activity.

Key Financial Metrics (2025)

Profit Margin
24.7%



ROA
8.9%



ROE
16.8%



Debt to Equity
75.4%



Bahri stock price between March 3 and May 7, 2026

Financial Ratio Analysis Summary

Ratio	eXtra (4003)	Ma'aden (1211)	Almarai (2280)	Bahri (4030)
	2025	2025	2025	2025
Return on Assets (ROA)	10.20%	7.30%	6.50%	8.90%
Return on Equity (ROE)	29.70%	13.00%	X	16.80%
Equity Multiplier	2.75	1.84	1.92	1.87
Profit Margin	7.70%	22.10%	11.10%	24.70%
Current Ratio	1.82	1.54	1.47	1.74
Quick Ratio	1.1	1.12	0.5	1.62
Total Asset Turnover	1.31	0.33	0.58	0.36
Avg. Collection Period (DSO)	4.9	64.68	33.87	72.25
Debt to Assets	38.40%	28.30%	32.60%	39.50%
Debt to Equity	109.50%	49.90%	63.50%	75.40%
Times Interest Earned	17.17	184.4	6.33	3.9
Market-to-Book Value Ratio	3.91	3.84	2.09	1.75
Price-Earnings Ratio (P/E)	13.6	31.84	17.61	11

eXtra

eXtra showed strong profitability and solid liquidity, but it also carried higher leverage than a defensive stock should. This makes it attractive for growth, but with moderate risk.

Maaden

Maaden showed strong profitability in 2025, but its leverage and cyclical nature make it the riskiest stock in the portfolio. It offers upside linked to commodity and mining conditions.

Almarai

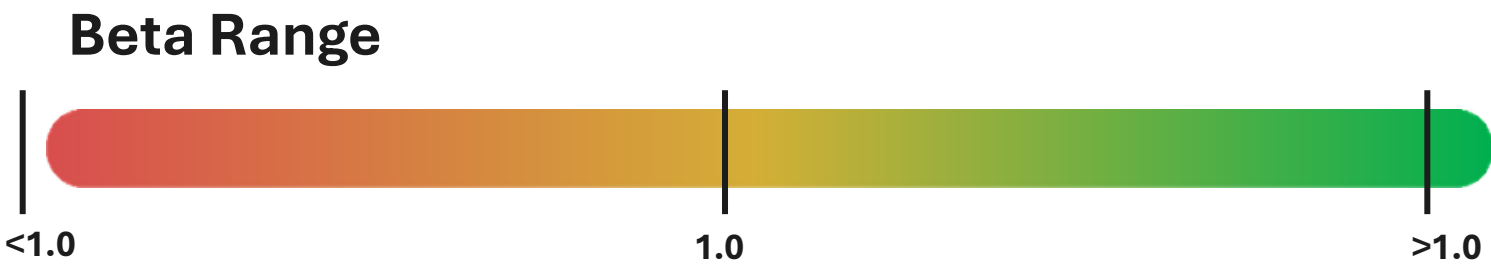
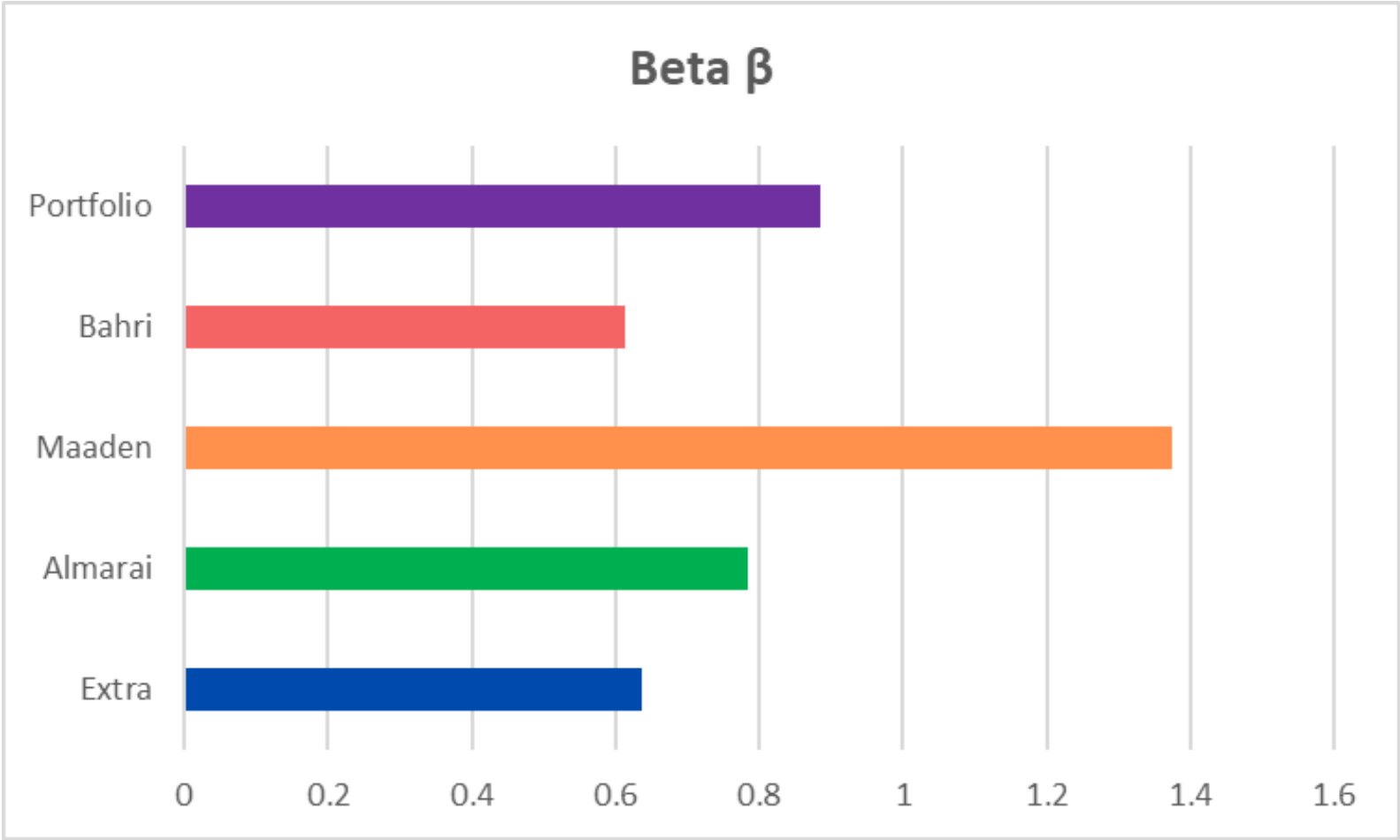
Almarai delivered stable and consistent financial performance. It is the most defensive holding in the portfolio and helps reduce overall volatility.

Bahri

Bahri combined good profitability with relatively balanced leverage and strong performance in 2025. It became one of the best contributors to overall portfolio return

Systematic Risk Analysis (Beta)

The portfolio exhibits a defensive risk profile The portfolio beta of 0.8844 shows that the portfolio is slightly less volatile than the market.



Stock	Beta	R-Square	Risk Classification	Interpretation
Extra	0.6362	0.1394	Defensive	Lower volatility than the market; market explains about 13.94% of return variation.
Almarai	0.7845	0.2105	Defensive / Stable	Moderate market sensitivity; market explains about 21.05% of return variation.
Maaden	1.3758	0.2919	Aggressive	Highest market sensitivity; market explains about 29.19% of return variation.
Bahri	0.6122	0.1231	Defensive	Lowest beta in the portfolio; market explains about 12.31% of return variation.
Portfolio	0.8844	-	Slightly Defensive	Portfolio is less volatile than the market due to diversification.

Total Risk Analysis

	Ret Extra	Ret Almarai	Ret Maaden	Ret Bahri
Ret Extra	1			
Ret Almarai	0.1678	1		
Ret Maaden	0.2081	0.1983	1	
Ret Bahri	0.1172	0.1418	0.166	1

Stock	Weight	Weight²	Variance	.Std. Dev	Beta
Extra	20.04%	0.0402	.0002080682	1.44%	0.6362
Almarai	20.57%	0.0423	0.000209493	1.45%	0.7845
Maaden	30.38%	0.0923	.0004646388	2.16%	1.3758
Bahri	29.01%	0.0842	0.0002181803	1.48%	0.6122

Diversification Insights

This weak relationship between holdings helps reduce unsystematic risk. Combining mining, consumer staples, retail, and logistics creates a more balanced portfolio than holding a single sector.

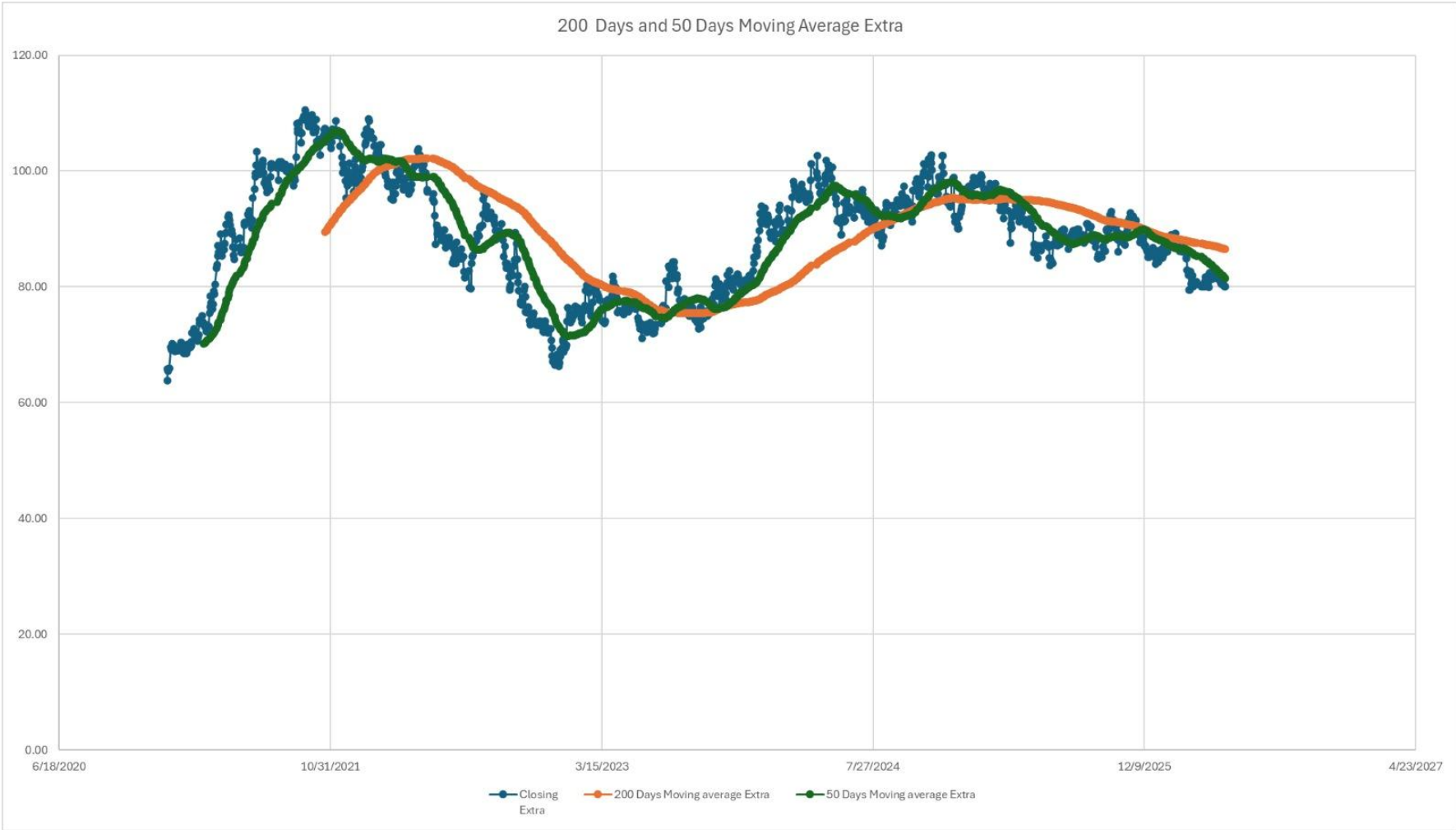
Corrlation Matrix

The stocks show weak positive correlations, which supports diversification. The highest correlation is still low, meaning the holdings do not move closely together.

Portfolio Volitlity

The portfolio standard deviation is lower than the individual stock standard deviations, showing that diversification reduced total risk. Maaden contributed the highest standalone risk, but the other holdings helped smooth portfolio volatility

Technical Analysis Insight eXtra and Maaden



eXtra 50 and 200 Days Moving Average

Technical Patterns

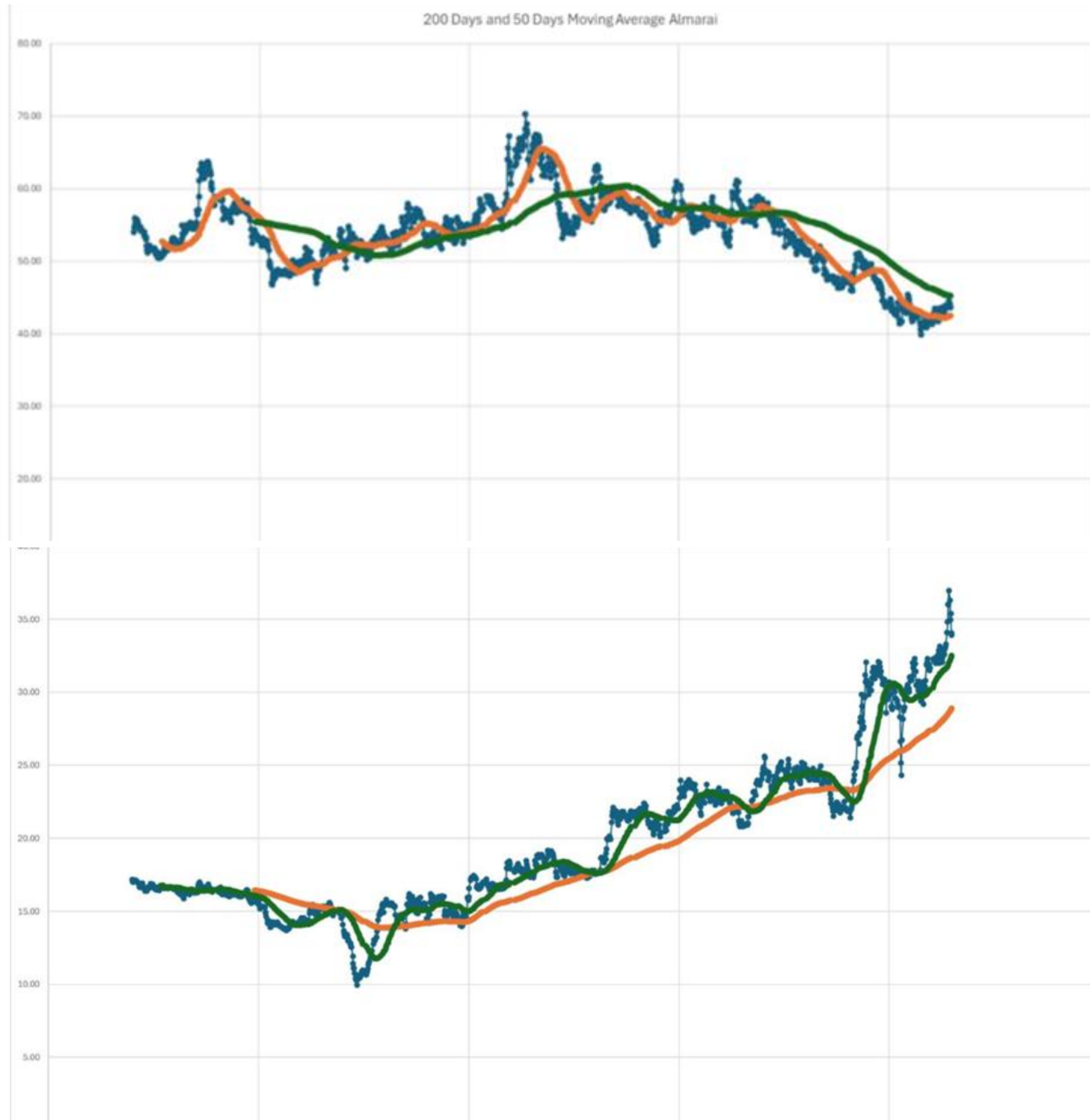
eXtra
eXtra was below both moving averages on the entry date and remained below them by the exit date. The stock made only a small gain, but the technical signals did not confirm a strong recovery.

Maaden
Maaden was above the 200-day moving average but weakened below the 50-day moving average by the exit date. This means the long-term trend stayed positive, but short-term momentum faded, making the exit reasonable from a risk-control perspective.



Maaden 50 and 200 Days Moving Average

Technical Analysis Insight Almarai and Bahri



Technical Patterns

Almarai

Almarai showed weak technical momentum because it traded below key moving averages during much of the holding period. The signal was weak for both entry and exit, although the stock recovered slightly by the end of the period.

Bahri

Bahri was the strongest technical stock in the portfolio. It traded above both moving averages during the holding period, which made the entry technically strong and the exit reasonable as a profit-taking decision.

Key Findings

Bahri had the strongest moving average setup in the portfolio, while Almarai and eXtra showed the weakest signals. Maaden remained stronger on the long-term trend but lost short-term momentum. Overall, the moving average analysis suggests that Bahri was the best technical holding and eXtra was the weakest.

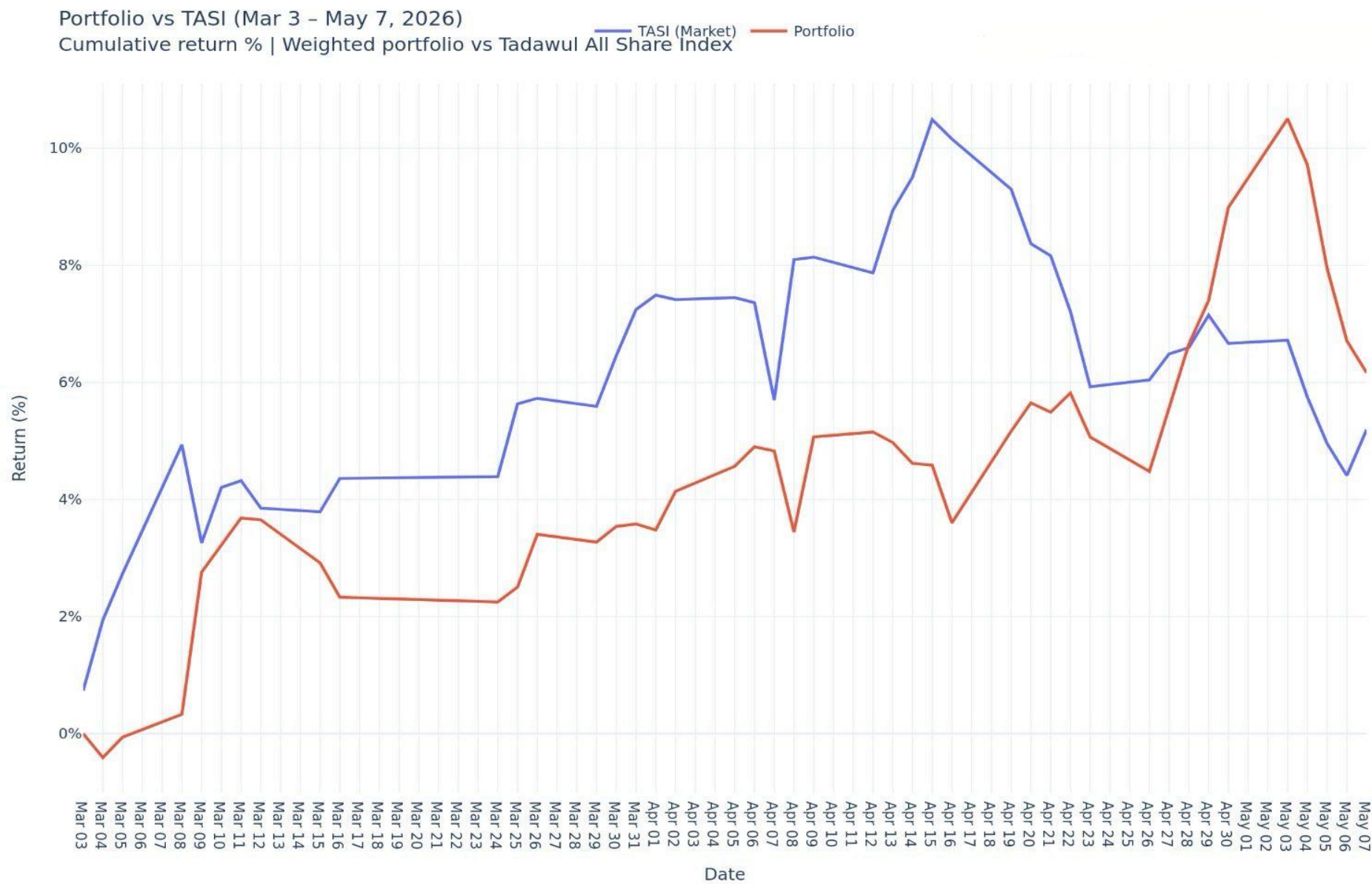
Portfolio Performance Results

Performance Overview

The portfolio started with an initial value of SAR 99,913.72 and ended at SAR 102,545.12. This produced a profit of SAR 2,631.40 and a total return of 2.63%.

Main Drivers

Bahri and Almarai were the main positive contributors, while Maaden caused the biggest loss. eXtra had only a small negative effect on total return.



Key Challenges

Maaden’s decline hurt the portfolio the most because it had the largest weight. eXtra’s dividend-driven rise also faded after profit-taking and post-dividend selling pressure, which limited the portfolio’s upside

Key Learnings



Diversification Effectiveness

Diversification reduced systematic risk, lowering portfolio beta to 0.88 despite mixed individual betas (eXtra 0.63, Maaden: 1.37, Almarai: 0.78, Bahri: 0.61).



Factors that affect Portfolio Return

Portfolio return is affected by both stock selection and portfolio weights; a heavily weighted declining stock can materially reduce total performance.



News and announcements impact

A stock with strong news may not continue rising if the positive information has already been priced in or if investors take profits after announcements and Dividend eligibility and payment dates can create short-term price movements that are not necessarily related to company fundamentals



Benchmark comparison

Benchmark comparison is useful because it shows whether portfolio performance is driven by the broader market or by stock-specific decisions.